MMC Ports

BOARD PAPER · STRICTLY PRIVATE & CONFIDENTIAL

# Group Head of Internal Audit

Role architecture, governance and talent proposal for MMC Port Holdings Berhad

Prepared for the Executive Chairman (Mr Sultan), Group CEO (Mr Glenn Hilton) and the Board of Directors
Kuala Lumpur · October 2026 · Draft for discussion

# Executive summary: one independent audit voice for the Group

**Recommendation** Appoint a Group Head of Internal Audit (GHIA) reporting directly to the Board, through a Designated Independent Board Member, with an administrative line to the Group CEO and solid-line authority over every port company's audit team.

**880–1,055**

Hay points, paid at Malaysia market P50

**~RM 0.54m**

target total cash at band midpoint

**Board-direct**

functional reporting line; no audit committee for now

**6 ports**

PTP, Northport, Johor, Penang, Tg Bruas, Andaman + cruise

## Board resolutions sought today

- Approve the role, its charter principles and direct-to-Board reporting line
- Approve the grade (880–1,055 Hay points) and pay at Malaysia P50
- Authorise a retained search, with a shortlist to the Board within 10 weeks

# Why this role, and why now

## Fragmented assurance

Each port company audits its own way. No single, independent opinion on group-wide control reaches the Board.

## MACC Act s.17A

The company and its leaders are liable for corruption by associated persons unless “adequate procedures” are proven.

## CapEx & automation

Multi-year, multi-billion-ringgit terminal expansion is the largest single source of leakage and collusion risk.

## IT/OT cyber

Ports are national critical infrastructure under the Cyber Security Act 2024. An OT incident can halt transshipment.

## Capital-markets readiness

A listing or major financing needs a Bursa-compliant internal audit function and a defensible SORMIC.

## ESG & regulators

Sustainability disclosure (NSRF), Customs and port-authority oversight are all intensifying.

# Operating model: one hub, four port spokes, one methodology

## Group Internal Audit Hub

Kuala Lumpur · ~12–16 people

- **Methodology, quality & Board reporting**
- **Investigations & integrity (s.17A)**
- **IT/OT & data analytics**
- **CapEx & contract audit**

### PTP

Audit team; JV interface with APM Terminals

### Northport

Audit team; Port Klang operations

### Johor Port & Tg Bruas

Audit team; Johor & Melaka

### Penang & Andaman Port

Audit team; northern region incl. Yan, Kedah

**Design rule:** one audit universe, one rating scale, one issue tracker, one Board report.

**Independence at site level:** port audit heads are hired, appraised and rotated by the GHIA, with port CEO input.

**Flex capacity:** a pre-qualified co-source panel for forensic, OT cyber and engineering skills.

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# Position architecture

Role identity, Hay evaluation, accountabilities and KPIs

# The role at a glance

| Element | Specification |
|---|---|
| Job title | Group Head of Internal Audit (GHIA) / Chief Audit Executive |
| Grade | Senior Management; 880–1,055 Hay points, paid at Malaysia market P50 (≈ KF reference level 19–20, Mercer IPE 56–58: to be confirmed by HR) |
| Functional reporting | Board of Directors, through a Designated Independent Board Member (an independent NED, not the Executive Chairman). The Board approves charter, plan, budget, appointment, removal, pay and appraisal |
| Administrative reporting | Group CEO: leave, travel, facilities and HR process only; no power to limit scope or change findings |
| Key relationships | Board; Group CFO; Chief Risk Officer; Group Integrity; Group CIO/CISO; port CEOs; MMC Corporation Group Internal Audit; external auditors; regulators |
| Team | 4–5 hub heads and 4 port audit heads; function of ~35–55 people (to confirm by capacity model) |
| Location | Kuala Lumpur, with ~30–40% travel to Johor, Klang, Penang and Kedah |
| Standards | IIA Global Internal Audit Standards (2024); Bursa MMLR 15.27; MCCG 2021; MACC Act s.17A and the Guidelines on Adequate Procedures |

# Hay evaluation: 880–1,055 points

## Know-How

### ≈ 460–528 pts

*F / I–II / 3*

- Seasoned mastery of audit, risk, control and forensics
- Fluent in port operations, concessions and engineering procurement
- Data analytics, CAATs and AI-assisted testing
- Influences Board, port CEOs and regulators

## Problem Solving

### ≈ 230–304 pts

*E–F / 4 (50–57%)*

- Control gaps that cross port-company boundaries
- Collusive schemes: vendor cartels, bid rotation, inflated variation orders
- New risks: automation, OT cyber, ESG claims

## Accountability

### ≈ 175–230 pts

*E–F / 3–4 / Contributory*

- Sets the audit agenda, subject only to Board approval
- Unrestricted access to records, people and property
- Shapes results indirectly through assurance and loss prevention

**Total ≈ 880–1,055 Hay points** · lower end: first-time group CAE or function still being built; upper end: proven CAE running the full hub-and-spoke function. Factor split is indicative.

# Purpose and six core accountabilities

*Give the Board independent, risk-based assurance on governance, risk and control across MMC Ports, its port companies, JVs and projects, protecting assets, concessions, licences and reputation.*

1

## Risk-based audit planning

Audit universe; 3-year strategy and annual plan tied to the risk register and Board risk appetite.

2

## Group & port audit governance

Charter, methodology, ratings, QAIP; leads port audit teams; external quality assessment every 5 years.

3

## Fraud & investigations (s.17A)

Tests the anti-corruption programme against T.R.U.S.T.; leads whistleblowing investigations.

4

## CapEx, procurement & contracts

Pre-award, in-flight and post-completion audits; tender integrity; variation orders; concession compliance.

5

## Digital & continuous auditing

Analytics on ERP, TOS, billing and gate data; continuous monitoring; IT and OT security audits.

6

## Board reporting & combined assurance

Quarterly Board report and overall control opinion; supports the SORMIC; aligns all assurance providers.

# Key performance indicators

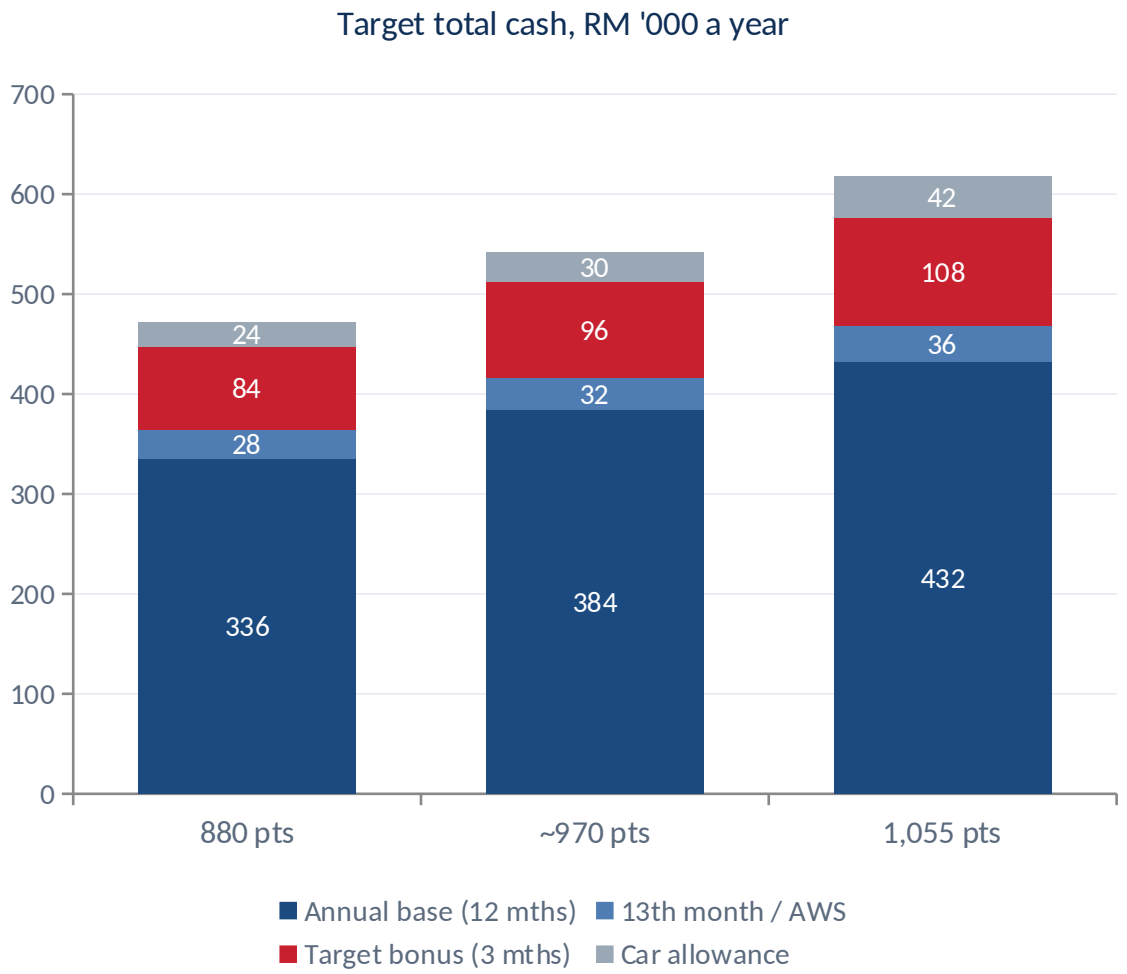
| KPI | Type | Year 1 | Year 3 |
|---|---|---|---|
| Audit plan delivered (risk-adjusted) | Quantitative | ≥ 85% | ≥ 95% |
| High-risk findings fixed by agreed date | Quantitative | ≥ 80% | ≥ 95% |
| Median fix time, high-risk findings | Quantitative | ≤ 120 days | ≤ 90 days |
| Repeat findings (same root cause, 24 months) | Quantitative | −30% | −60% |
| Audit universe under continuous monitoring | Quantitative | ≥ 25% | ≥ 60% |
| Report issued after fieldwork ends | Quantitative | ≤ 30 days | ≤ 15 days |
| Validated recoveries / cost avoided vs IA cost | Quantitative | ≥ 3× | ≥ 5× |
| Whistleblowing cases triaged in 5 working days | Quantitative | 100% | 100% |
| External quality assessment | Qualitative | Readiness review | Generally Conforms |
| Board satisfaction survey | Qualitative | ≥ 4.0 / 5 | ≥ 4.5 / 5 |
| Team holding professional certification | Qualitative | ≥ 40% | ≥ 70% |

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# Pay and talent market

Malaysia P50 compensation, candidate profile and sourcing outlook

# Pay at Malaysia P50: ~RM 0.47m–0.62m total cash




| Component | Min | Mid | Max |
|---|---|---|---|
| Monthly base | RM 28k | RM 32k | RM 36k |
| Guaranteed (13 mths) | RM 364k | RM 416k | RM 468k |
| Target bonus (3 mths) | RM 84k | RM 96k | RM 108k |
| Car allowance / month | RM 2.0k | RM 2.5k | RM 3.5k |
| **Target total cash** | **≈ RM 0.47m** | **≈ RM 0.54m** | **≈ RM 0.62m** |

- Plus employer EPF (~RM 55k–75k), medical, club, phone and professional fees
- Above band max: one-off sign-on, not a wider band
- Board (Designated Board Member) signs off offer and KPIs
- RM figures are estimates; replace with your Korn Ferry P50 cut

# Candidate profile

## Must have

- Degree in accounting, finance or engineering
- MIA member (CA(M)) and/or ACCA, CPA, ICAEW, CIMA
- CIA, or obtain within 18 months
- 15+ years in audit, risk or assurance
- 5+ years heading or deputising for an audit division in an asset-heavy group
- Board reporting and investigations track record
- Clean integrity and background screening

## Strongly preferred

- CFE, CISA or CRMA
- Ports, shipping, aviation, utilities, oil & gas or construction
- Major project / EPCC contract audit
- Built data analytics or continuous monitoring
- IPO readiness or Bursa compliance experience

## Leadership

- Courage and independent judgement
- Board-level presence; concise communicator
- Commercial and operational acumen
- Builds teams across distributed sites
- Fluent Bahasa Malaysia and English

# Where to find the right candidate at this band

| Talent pool | Depth | Fit at this band | Watch-outs |
|---|---|---|---|
| Big Four risk advisory / IA directors and senior managers | Good (~60–90) | Strong on method, analytics, forensics | Less in-house leadership; partners usually above band |
| Deputy CAEs / Senior GMs IA in GLCs and GLIC investees | Moderate (~30–50) | Strong on governance, MACC, Board reporting | First CAE role; may need coaching |
| Heads of IA in mid-cap infrastructure, construction, property | Moderate (~20–30) | Strong on CapEx and contract audit | Less port and OT exposure |
| Aviation, maritime and logistics (MAHB, MISC, Westports, Bintulu Port) | Thin (~10–20) | Closest operating match | Competitor sensitivities; non-solicits |
| CAEs of the largest GLCs / Big Four partners | Thin | Strong | Typically above band; need sign-on or regrade |



**Verdict: achievable.** A shortlist of 5–7 in 8–10 weeks of retained search; start in 4–6 months. ~60–70% chance of a strong hire within band, ~80% with a sign-on. Most likely hire: a strong deputy CAE or Big Four director stepping up.

# Selling the role: headwinds and tailwinds

## Headwinds

- Frequent travel to Johor, Klang, Penang and Kedah; 24/7 sites
- Scrutiny from Board, parent group, JV partners, Customs, MACC
- Group vs port reporting and long-standing local cultures
- Pay at P50 is below the most senior CAEs and Big Four partners
- Perceived personal exposure under s.17A
- Small pool; 3-month notice and counter-offers

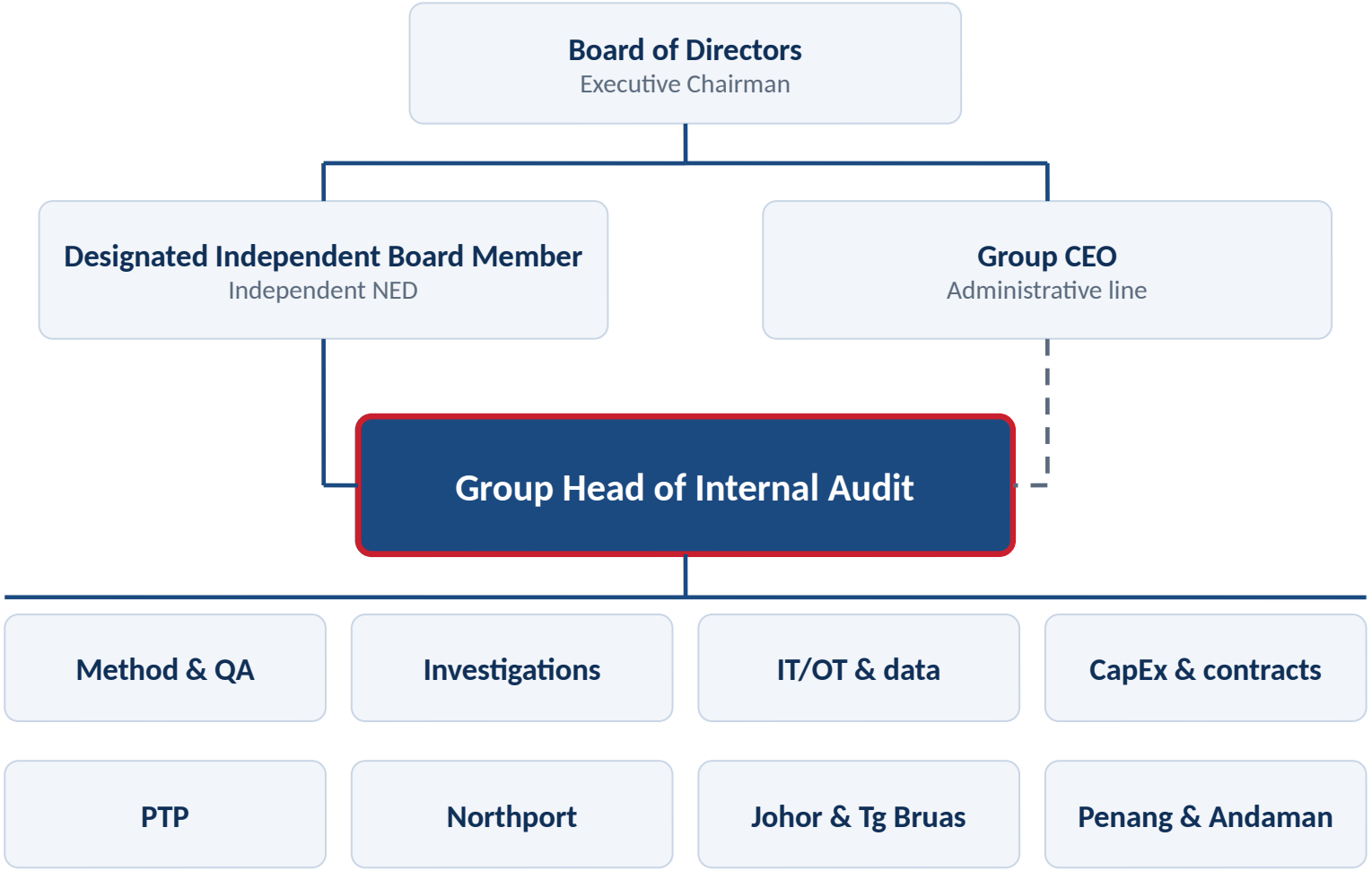
## Tailwinds

- Guardian of Malaysia's maritime gateway and a top global transshipment hub (PTP)
- Rare direct reporting line to the Board itself
- Mandate to build a modern, analytics-first function
- Exposure to automation, smart-port and decarbonisation
- Possible listing-linked LTIP
- Path to Group CRO, CFO or CAE of the wider MMC group

# Board proposal

Governance structure, first 100 days and value to the Group

# Governance: reporting directly to the Board




Solid: functional line · Dashed: administrative line · Row 1: hub units · Row 2: port audit teams

## Safeguards without an audit committee

- Internal audit is a standing item at every Board meeting
- Private sessions with non-executive directors at least twice a year
- Any scope limitation reported to the Board
- Board sets the GHIA's appointment, pay and appraisal
- Not the Executive Chairman: the role is executive
- Review need for an audit committee within 12 months or before any listing (Bursa MMLR 15.09)

# Who decides what

| Decision / activity | Board | Group CEO | GHIA | Port CEOs | MMC Corp GIA |
|---|---|---|---|---|---|
| Internal audit charter and annual plan | Approves | Consulted | Owns | Consulted | Informed |
| GHIA appointment, removal, pay, appraisal | Approves | Consulted | — | — | Informed |
| Internal audit budget and headcount | Approves | Consulted | Proposes | — | — |
| Audit reports and ratings | Receives | Receives | Issues | Responds and fixes | Informed |
| Investigations (fraud, s.17A) | Oversees via Designated Board Member | Informed (unless conflicted) | Leads | Cooperates | Informed per protocol |
| Port audit head appointment | Informed | — | Decides | Consulted | — |



The GHIA holds no operational, risk-owning or compliance duties. That keeps the audit opinion independent of the work it reviews.

# The first 100 days

1 — 2 — 3

DAYS 1–30

## Listen and diagnose

- Meet Board, Chairman, GCEO, CFO, CRO, port CEOs, external auditor, JV partners
- List all open findings, whistleblowing cases and investigations
- Review audit staff and skill gaps

**To Board:** State-of-assurance note; overdue high-risk register

DAYS 31–60

## Design and stabilise

- Refresh charter to the 2024 IIA Standards
- One method, rating scale and issue tracker
- Rapid reviews: top CapEx projects, vendor master, s.17A health check, OT cyber at PTP and Northport

**To Board:** Approved charter; draft 3-year audit strategy

DAYS 61–100

## Deliver and signal

- Launch 2–3 high-visibility audits
- Analytics pilot: duplicate payments, split POs, vendor–staff matches
- Set up co-source panel and quality programme

**To Board:** Day-100 Board pack: model, budget, 2027 plan, first recoveries

# Cost to value: how the role protects EBITDA

**~RM 0.65m**

fully loaded yearly cost of the GHIA at band midpoint

**0.3–1.0%**

typical recoverable leakage on CapEx and procurement spend

**≥ 5×**

Year-3 target: recoveries and avoided cost vs total IA cost

| Value lever | How | Illustrative impact |
|---|---|---|
| CapEx & contracts | Tender review, variation order and claims audit, enforce damages | 0.5% avoided on RM 1bn project spend = RM 5m |
| Procurement analytics | Bid-rigging signs, duplicate payments, vendor master clean-up | 0.2–0.5% of addressable spend |
| Revenue assurance | Tariff, storage and marine billing completeness; waivers | Direct EBITDA uplift |
| Licences & concessions | Concession KPI, safety and environmental controls | Protects long-dated cash flows |
| s.17A shield | Independent testing of adequate procedures | Fines up to 10× the bribe or RM 1m, whichever is higher |
| Cyber / OT resilience | OT segmentation, incident response, NCII compliance | Avoids costly hub-port downtime |

# Board resolutions sought

1. Approve the GHIA role, charter principles, and functional reporting directly to the Board through a Designated Independent Board Member, with an administrative line to the Group CEO

2. Approve the grade at 880–1,055 Hay points paid at Malaysia P50, with authority for a one-off sign-on for an exceptional candidate

3. Authorise a retained executive search, with a shortlist to the Board within 10 weeks

4. Approve the hub-and-spoke operating model at Day 100, and review the need for an audit committee within 12 months or before any listing

# Appendix: port footprint and audit themes

| Port | Location | Profile | Key audit themes |
|---|---|---|---|
| Pelabuhan Tanjung Pelepas (PTP) | Johor | Global transshipment hub; JV with APM Terminals; automation and expansion | JV audit rights, CapEx, OT cyber, productivity data |
| Northport | Port Klang, Selangor | Container, conventional and liquid bulk | Asset renewal, labour contractors, billing, safety |
| Johor Port | Pasir Gudang, Johor | Multipurpose; palm oil, liquid and dry bulk; free zone | Free-zone and customs controls, bulk losses, environment |
| Penang Port (incl. Swettenham Pier Cruise Terminal) | Penang | Container, conventional, cruise, ferry | Cruise and ferry revenue, marine services, dredging |
| Tanjung Bruas Port | Melaka | Smaller multipurpose port | Covered by Johor audit team |
| Andaman Port | Yan, Kedah | Northern-region port; covered by Penang audit team | Development and CapEx, contractors, land and licences, environmental permits |

# Appendix: assumptions and next checks

## Pay figures

RM values are estimates of Malaysia P50 across 880–1,055 points. Replace with MMC Ports' Korn Ferry PayNet cut before any offer.

## Job evaluation

The 880–1,055 total is MMC Ports' range. The factor split and KF/Mercer equivalents are indicative; confirm with the HR evaluation committee.

## Portfolio

Confirm ownership percentages, JV terms and listing status against the latest annual report and Board papers.

## Plan figures

Headcount (~35–55), budget and value numbers are planning ranges, not commitments.

*Prepared as a Board discussion draft by a specialist panel simulation; not a product of, or endorsed by, any named consulting firm.*